**SYNTHETIC TRAINING RECORD — FICTIONAL PARTIES, PEOPLE, PLACES, IDENTIFIERS, AND EVENTS — NOT A REAL FILING**

# Complaint

## United States District Court for the Western District of North Carolina

### Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc.

Civil Action No. SYN-WDNC-24-CV-0520

Filed December 2, 2024

Blue Ember Biologics, LLC alleges that Granite Heron Logistics, Inc. accepted custody of a temperature-sensitive validation lot, promised continuous frozen transport, and delivered the lot after an avoidable fifty-four-minute temperature excursion. The shipment was lot BE214-VL-2409A, transported under shipment number GHL-ASH-091224-087 from Solstice Gate Analytics in Greenville, South Carolina, to Blue Ember's Asheville facility on September 12, 2024.

The contract required the payload to remain between minus eighty and minus sixty degrees Celsius. A CryoTrace CTX-9 logger, serial CTX9-44721, recorded temperatures above the upper limit from 13:08 through 14:02 Eastern Daylight Time and a maximum of minus 42.8 degrees at 13:37. Blue Ember rejected the lot on September 16 after reviewing the logger and release specification.

Blue Ember seeks damages for the unusable lot, a replacement campaign, and delay. These allegations state one litigant's position; they are not judicial findings. Blue Ember requests a jury trial on every issue triable by jury.

# Parties, citizenship, jurisdiction, and venue

Blue Ember is a Delaware limited-liability company headquartered at 1847 Cinder Ridge Parkway, Asheville, North Carolina 28803. Its sole member is Blue Ember Holdings, Inc., a Delaware corporation with its principal place of business in Asheville. Blue Ember develops BE-214, a fictional biologic candidate whose manufacturing program required a successful validation lot before the next campaign could proceed.

Granite Heron is a Georgia corporation with its principal place of business in Georgia. It operates a temperature-controlled transport facility at 802 Granite Heron Way, Fletcher, North Carolina 28732. Granite Heron held itself out as a specialized carrier able to move deep-frozen biologic material, monitor a calibrated logger, respond to alarms, and preserve an auditable custody record.

The parties are completely diverse, and the amount in controversy exceeds seventy-five thousand dollars exclusive of interest and costs. This Court therefore has subject-matter jurisdiction under the diversity statute. Venue is proper because Granite Heron's relevant depot is within this district, delivery occurred in Asheville, and a substantial part of the alleged contractual failure occurred during staging in Fletcher.

Blue Ember alleges North Carolina contract law governs under the parties' written choice-of-law clause. It does not plead a federal claim. The requested recovery exceeds the jurisdictional threshold but remains subject to proof, contractual defenses, and the jury's assessment.

# The integrated cold-chain agreement

On November 1, 2023, the parties executed Master Logistics Services Agreement BE-GHL-MLS-2023-1101. That agreement established ordering, custody, documentation, insurance, invoicing, notice, and loss-allocation terms. It permitted later statements of work, quality protocols, release specifications, purchase orders, and rate confirmations to define shipment-specific performance. In a conflict, the quality document controlled product-handling requirements, while the master agreement controlled general commercial terms unless a signed later writing stated otherwise.

The parties executed Quality Agreement QA-BE-GHL-017 on January 15, 2024. It required trained personnel, calibrated equipment, contemporaneous custody entries, escalation of an out-of-range observation, and preservation of raw logger output. Release Specification BE214-RS-03, Revision 3, became effective August 1, 2024 and identified the acceptable range as minus eighty through minus sixty degrees Celsius without an authorized excursion.

On August 19, the parties executed Statement of Work SOW-BE214-VAL-04, and Blue Ember issued purchase order BE-PO-240819-2147. Those instruments identified the validation lot, origin, destination, setpoint, monitoring device, and planned September pickup. Granite Heron issued Rate Confirmation RC-240912-087 on September 11. Blue Ember alleges these writings formed one shipment contract and imposed a continuous-temperature obligation independent of whether visible package damage occurred.

# Product, packaging, and release controls

Lot BE214-VL-2409A consisted of sealed development vials packed in qualified insulated shippers. Solstice Gate Analytics, 61 Pelham Lab Way, Greenville, South Carolina 29615, completed the lot and certificate of conformance COC-BE214-091224. Blue Ember alleges the containers were equilibrated, intact, and within specification when Granite Heron assumed custody at 11:20 on September 12.

The shipping plan assigned tractor GH-4821 and trailer TR-7714. The trailer refrigeration setpoint was minus seventy degrees Celsius. The CryoTrace device traveled with the payload and sampled temperature at regular intervals. The required band allowed a ten-degree margin on either side of the setpoint, but the release specification did not allow the carrier to average an excursion against colder readings before or afterward.

BE-214 was a validation material rather than a commercially released medicine. Even so, the lot's purpose depended on documented handling. Blue Ember alleges an out-of-band interval could affect stability and, separately, prevent use of the lot as reliable validation evidence. The written protocol directed quarantine and quality review after any excursion. It did not authorize a driver, dispatcher, or consignee to declare the product suitable by appearance.

Granite Heron received the packaging configuration, temperature band, logger identity, and escalation contacts before pickup. Blue Ember alleges no latent packaging defect caused the later temperature rise.

# Pickup, staging, and recorded excursion

Granite Heron's driver signed the custody record at 11:20 Eastern Daylight Time. Tractor GH-4821 departed Solstice Gate Analytics at 11:47 and proceeded toward Granite Heron's Fletcher facility. The load reached the staging area shortly before 13:00. Blue Ember alleges the tractor engine was shut down and electrical standby power was not successfully engaged while trailer TR-7714 remained staged.

The CTX-9 record crossed above minus sixty degrees at 13:08. It continued warming until reaching minus 42.8 degrees at 13:37. A local display condition prompted intervention, refrigeration resumed, and the recorded temperature returned to the authorized band at 14:02. The resulting excursion lasted fifty-four minutes. The shipment left the depot later that afternoon and arrived at 1847 Cinder Ridge Parkway at 15:26.

Blue Ember alleges Granite Heron did not telephone its listed quality contact when the first alarm became available. Nor did it place the lot in a qualified backup freezer, return it to the origin, or request a documented disposition before continuing delivery. The receiving team observed no broken vial or exterior impact, but downloaded the logger and quarantined the shipper.

Blue Ember alleges the custody record and device output trace the warming interval to Granite Heron's exclusive possession, particularly the Fletcher staging period.

# Quarantine, investigation, and lot rejection

Upon delivery, Blue Ember's receiving staff preserved the sealed shipper, CTX-9 output, custody documents, and trailer information. The quality unit opened deviation BE-QA-DEV-2024-0912 and notified Granite Heron that the lot was quarantined. It asked Granite Heron for refrigeration logs, alarm acknowledgments, driver notes, and the staging chronology.

Blue Ember reviewed release specification BE214-RS-03, Revision 3, and the planned use of the lot. It also requested confirmatory assay work. The assay evidence did not establish that every vial had become chemically inactive; Blue Ember does not allege that visible spoilage occurred. It alleges instead that the measured exposure defeated a mandatory release criterion and compromised the lot's intended validation function. On September 16, Blue Ember issued a written rejection and lot-disposition decision.

Granite Heron later identified a power-transition problem during staging but disputed whether the event caused the full loss Blue Ember claimed. Blue Ember alleges the carrier's investigation confirmed that refrigeration continuity was not maintained and that alarm escalation did not occur as the quality agreement required.

The rejected lot was segregated and ultimately destroyed under controlled procedures. Blue Ember did not sell, administer, or represent the material as conforming. Its claimed direct costs concern work already embodied in the rejected lot and the expense of producing a replacement campaign.

# Replacement schedule and claimed delay

Before the shipment, Blue Ember had planned the next qualified campaign at Aurora Quay Manufacturing Center, 509 Harbor Science Road, Raleigh, North Carolina 27610. That campaign was reserved to begin March 3, 2025. Blue Ember alleges the rejected validation lot forced additional work and delayed program milestones, generating both direct replacement expense and time-related economic loss.

On October 2, 2024, Cobalt Finch Bioprocessing offered a December 2 production slot at 720 Meridian Commons Drive, Durham, North Carolina 27703. The offer required acceptance by 17:00 on October 4. Blue Ember evaluated whether it could transfer the process, qualify the suite, complete change control, and protect comparability within the offered window. It did not accept the slot and proceeded with the previously qualified Aurora Quay campaign.

Blue Ember alleges that its decision was reasonable because the Cobalt Finch proposal was conditional, the site had not been approved for BE-214, and the short acceptance period did not resolve technical and schedule risks. Granite Heron contends the contrary and asserts that accepting the offer would have avoided 1.8 million dollars in delay loss at an incremental transfer and qualification cost of 300,000 dollars.

The reasonableness and financial effect of the proposed alternative are disputed jury issues, not conceded facts in this pleading.

# Damages categories

Blue Ember presently calculates 4.2 million dollars in gross loss. The calculation separates 2.2 million dollars of direct loss from 2 million dollars attributed to delay. The direct category consists of 1.35 million dollars embodied in the unusable validation lot and 850,000 dollars for the replacement campaign, additional release work, and directly associated services.

The delay category estimates contribution and milestone loss associated with the shifted development schedule. Blue Ember alleges the claimed period and amounts are supported by contemporaneous budgets, invoices, campaign calendars, and testimony rather than by an assumed perpetual commercial stream. It will present expert analysis subject to admissibility and cross-examination.

Blue Ember acknowledges its duty to act reasonably after the breach. It disputes, however, that reasonable mitigation required accepting an unqualified-site proposal within forty-eight hours. It further disputes that the offered slot would certainly have produced equivalent material or prevented every claimed delay. Any avoided loss must be reduced by costs, risks, and consequences of the alternative.

The complaint does not ask for a double recovery. Amounts attributable to the rejected lot, replacement work, and delay are intended as separate components. Blue Ember also seeks allowable prejudgment interest, postjudgment interest, taxable costs, and any other contract remedy proved at trial.

# Count One — breach of contract

Blue Ember incorporates the preceding allegations. The master agreement, quality agreement, statement of work, purchase order, release specification, and rate confirmation constituted enforceable written obligations supported by mutual consideration. Blue Ember performed or was excused from further performance by tendering conforming, properly packaged material, providing instructions and contacts, and paying or offering to pay undisputed transportation charges.

Granite Heron promised to maintain the specified temperature range throughout custody, monitor the shipment, respond to alarms, document transfers, and notify Blue Ember of a deviation. Blue Ember alleges Granite Heron breached those duties when refrigeration continuity failed during staging, the logger remained above the upper limit for fifty-four minutes, and personnel did not timely escalate the condition.

Blue Ember alleges the breach caused rejection of the validation lot, required replacement work, and shifted the program schedule. The claimed consequences were foreseeable because the shipment documents repeatedly identified the payload as a validation lot, required uninterrupted frozen handling, and specified that unauthorized excursions could prevent release even without exterior damage.

Granite Heron denies causation, challenges the amount and foreseeability of delay damages, invokes contractual limitations, and asserts failure to mitigate. Blue Ember alleges no cited limitation excuses the core cold-chain breach or eliminates the direct and foreseeable losses sought here.

# Contract defenses anticipated and denied

Blue Ember alleges the agreement's damages language does not bar the pleaded recovery. The 2.2 million dollar direct category reflects the value lost in the nonconforming shipment and reasonable replacement expense. The 2 million dollar delay category, Blue Ember contends, was within the parties' contemplation because the shipment-specific documents identified validation timing and the carrier received escalation instructions directed to program continuity.

To the extent Granite Heron invokes a liability cap, Blue Ember alleges the signed statement of work selected specialized declared-value coverage for this shipment. To the extent Granite Heron relies on an exclusion of remote or speculative loss, Blue Ember alleges its schedule evidence and limited claim satisfy ordinary foreseeability and reasonable certainty. These allegations preserve interpretation issues without treating them as resolved.

Blue Ember also denies that an act of Solstice Gate Analytics, a packaging defect, traffic, ambient conditions, or Blue Ember's receiving conduct superseded Granite Heron's failure. The logger remained within range at custody transfer and rose during Granite Heron's staging. Blue Ember promptly quarantined the lot after delivery.

Finally, Blue Ember denies that Cobalt Finch offered a certain and equivalent cure. Granite Heron bears the burden on its affirmative mitigation defense, including proof that a reasonable opportunity existed and that the claimed deduction reflects net loss actually avoidable.

# Prayer, jury demand, and counsel certification

Blue Ember asks that judgment be entered for compensatory damages proved at trial, together with permitted interest and costs. It requests declaratory construction only to the extent necessary to resolve the parties' contractual rights; it does not seek an advisory ruling about future shipments. Blue Ember demands a jury on breach, causation, damages, mitigation, and every other issue for which a jury right exists.

The pleading is signed for the exercise by Maya Holt and Jonas Bell of Holt Bell PLLC, counsel for Blue Ember. Counsel certify that the factual contentions are based on the information reasonably available after review of the contracts, custody documents, logger output, quality records, invoices, and communications described above. Expected discovery may support, qualify, or contradict individual allegations.

Blue Ember requests service on Granite Heron through its authorized agent. All parties, lawyers, companies, facilities, instruments, identifiers, and events named here are fictional. The docket number is an exercise convention and does not correspond to a real court file.

Dated: December 2, 2024.

Respectfully submitted,

**Holt Bell PLLC**

Maya Holt, exercise counsel

Jonas Bell, exercise counsel

Counsel for Blue Ember Biologics, LLC